

Brazil's oil production, Mexico's FDI, and upcoming central bank meetings

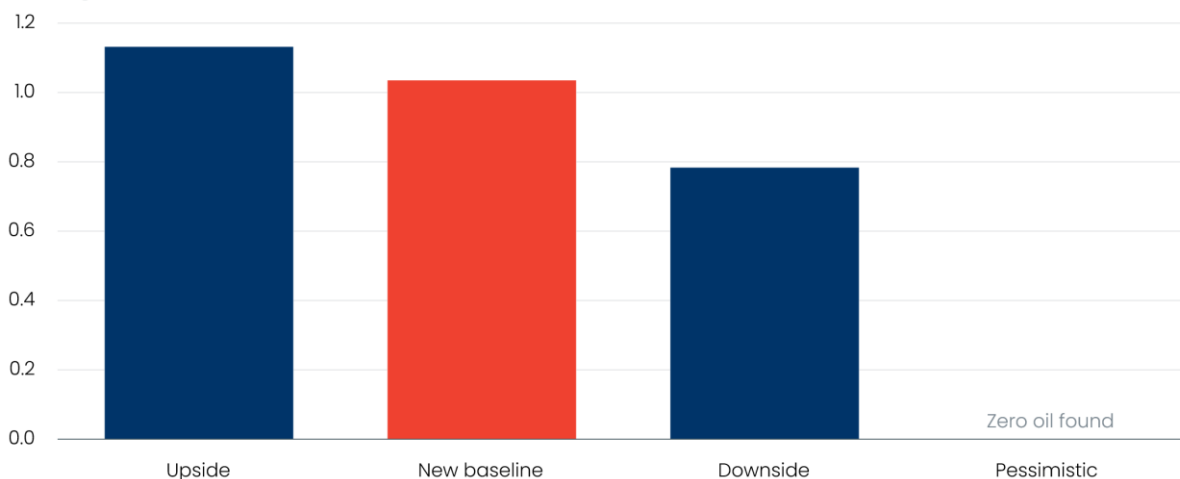
- We expect the Equatorial Margin to increase Brazil's oil production by 20%–35%, moving production from 3.8mn barrels per day (bpd) to 5mn bpd, placing it among the top five producers in the world.
- In Mexico, stable foreign direct investment in Q1 highlights a clear divide between domestic and foreign investors, with domestic investment remaining depressed because of political uncertainty.
- In next week's central bank meetings, we expect a non-uniform response to elevated oil prices: hikes in Indonesia and the Philippines, a cut in Brazil, and holds in the Czech Republic and Chile.

[Brazilian oil production](#) is set to reach new heights as state-owned energy firm Petrobras prepares to drill its first 15 wells in the Equatorial Margin – an offshore frontier oil and gas region that stretches along Brazil's northern coastline. Petrobras has earmarked \$2.5bn in its five-year business plan for its new projects. Investment is expected to exceed \$40bn during the first seven years of development, equivalent to about 1.8% of Brazil's GDP. Our simulations show increased oil production will lead to Brazil's GDP being 0.8%–1.1% larger by 2050, mostly from the boost to supply-side fundamentals ([Chart 1](#)).

Chart 1: Long-run impact is conditional on successful drilling

Brazil: Long run GDP impact from Equatorial Margin's oil production

% change over 2050 GDP level



Source: Oxford Economics

Offshore drilling carries the risk of dry wells, with industry exploration success rates often ranging from 10% to 30%. Political and environmental risks can also play a pivotal role by delaying developments, particularly given its proximity to the Amazon's marine ecosystem and the need for environmental approvals.

However, current licensing progress and government reliance on oil revenues, alongside the region's proximity to Guyana's highly productive Stabroek block, support optimism, with companies such as ExxonMobil, Chevron, and Shell all committing resources to the exploration.

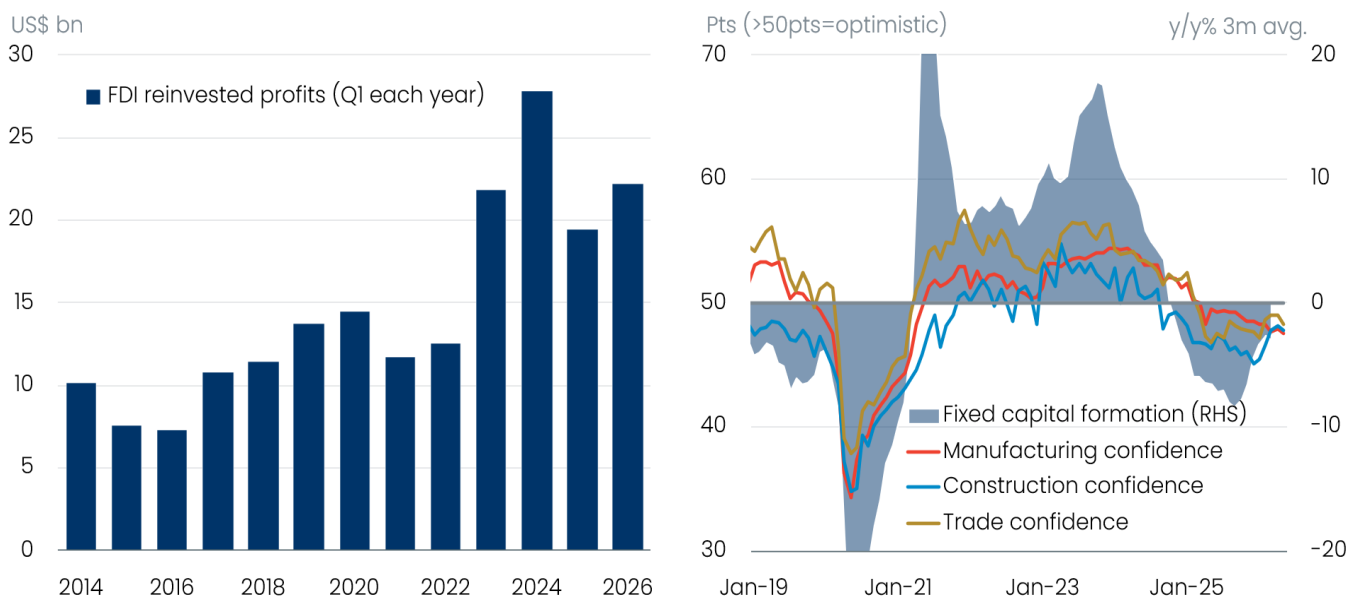
FDI stability signals foreign confidence in Mexico

Mexico's GDP growth is constrained by uncertainty around its relationship with the US and domestic policies. Alongside the completion of key public infrastructure projects, this has contributed to a 7% fall in total fixed investment in 2025 and a 3% y/y decline in Q1, despite record exports.

However, Banxico recorded US\$23.6bn in FDI in Q1, equivalent to almost 5% of GDP and close to record levels. This highlights a clear divide between foreign and domestic investors. Foreign investors continue to reinvest strongly, while domestic investors remain focused on the short-term impact of tariffs and reforms that have eroded checks and balances. These issues are less of a concern for foreign investors, whose investment decisions are longer term ([Chart 2](#)).

Chart 2: Domestic business sentiment has fallen but foreign investors keep reinvesting profits

Mexico: FDI reinvestment, business sentiment and fixed capital formation



Sources: Oxford Economics, Haver Analytics

The USMCA free-trade deal is the cornerstone of manufacturing activity and foreign direct investment in Mexico. Uncertainty around its future has slowed manufacturing FDI across subsectors, but it still attracted almost US\$10bn in Q1, or 42% of total FDI. Investment has also reached record levels in other sectors, including finance, mining, construction, and hospitality. Activity in financial services grew 2.1% in Q1, well above the 0.3% GDP growth, reflecting the border trend of service activity outperforming industrial activity and GDP growth.

The FDI data by country highlight that US companies remain the largest investors in Mexico, supporting our view of a continuing bilateral trade relationship. Mexico has also seen growing investment from smaller trade partners such as Australia and Switzerland, and we believe that the signing of the modernized EU-Mexico Global Agreement and interim trade agreements should boost investment from traditional European partners.

A mixed picture for EM central banks next week

With the US-Israel war with Iran keeping the Strait of Hormuz shut, energy prices remain elevated. Emerging market central banks are responding but from different exposure risk and starting conditions. Hence, we forecast a non-uniform policy response across next week's meetings.

Bank Indonesia surprised with an [off-cycle](#) 25bp hike this week ([Table 1](#)) and we expect another 25bp increase at its June 18 meeting. Rupiah weakness is the dominant driver, propelled by domestic credibility concerns, flow dynamics, and foreign outflows.

We expect [Bangko Sentral ng Pilipinas](#) to raise rates by 50bps to 5% at its June 18 meeting. Inflation eased slightly to 6.8% y/y in May from 7.2% in April, but stickier oil and food prices will keep it elevated in coming months.

The [Czech National Bank](#) is expected to hold at 3.5% on June 18. Market pricing sees risks of a hike. However, board members struck a calm tone at the March meeting and we believe most favour holding. The resilient koruna reinforces our call, though we expect two hikes in Q3 as second-round energy effects push core inflation higher.

We expect the [Central Bank of Brazil \(BCB\)](#) to cut by 25bps to 14.5% at its June 17 meeting. Despite inflation remaining above the 4.5% target ceiling for most of this year, we expect the BCB to continue with a cautious monetary policy normalisation into 2027. Market pricing sees risks to hikes by the end of the year.

The [Central Bank of Chile](#) is expected to hold at 4.5% on June 16, in line with market pricing. The board voted unanimously to hold in April, and forward guidance signals no change this year as economic activity loses momentum and the labour market stays weak, with easing likely resuming in 2027.

Monetary policy decisions

Table 1: Key recent monetary policy meeting decisions

	COUNTRY	KEY RATE (NOW)	OUTCOME	COMMENT
Jun 09	Kenya	8.75%	Hold	The Central Bank of Kenya (CBK) kept its benchmark interest rate unchanged during its June meeting, as we and the markets expected. Despite inflation rates increasing to 6.7% in May, policymakers argued that inflation rates remained within their 2.5%-7.5% target and that the CBK appears comfortable as it believes inflationary effects of the conflict in the Middle East may prove temporary. However, we forecast 50bps of hikes occurring this year.
Jun 09	Indonesia	5.5%	Hike	Bank Indonesia (BI) hiked its policy rate by 25bps at an unscheduled policy rate meeting. Rupiah weakness can be seen as the dominant driver behind this move, as BI aims to stabilise the currency. Although the announcement came as a surprise, we expect sentiment to remain poor. We now forecast 25bp hikes in June and in Q3.
Jun 11	Turkey	37%	Hold	The Turkish central bank (CBRT) kept its policy rate unchanged at its June meeting, as widely expected. Energy price rises have disrupted the disinflation process this quarter; however, the loss of economic momentum is preventing policy tightening. Under our baseline scenario, which sees the Strait of Hormuz deadlock broken by the end of July, we expect to see policy rate cuts in Q4.

Source: Oxford Economics

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Upcoming data releases

Table 2: Upcoming data releases

	INDICATOR	DATE OF RELEASE
India	PPI y/y%	June 15
	Unemployment rate	June 15
Slovakia	CPI y/y%	June 15
Poland	CPI y/y%	June 15
Sri Lanka	GDP y/y%	June 15
Czech Republic	PPI y/y%	June 16
	Monetary policy rate	June 18
Brazil	Retail sales	June 16
	Monetary policy rate	June 17
Colombia	Retail sales	June 16
Chile	Monetary policy rate	June 16
South Africa	CPI y/y%	June 17
	Retail Sales	June 17
Russia	PPI y/y%	June 17
	Monetary policy rate	June 19
Philippines	Monetary policy rate	June 18
Indonesia	Monetary policy rate	June 18
Taiwan	Monetary policy rate	June 18
Ukraine	Monetary policy rate	June 18
South Korea	PPI y/y%	June 18
Malaysia	CPI y/y%	June 19
Argentina	Retail sales	June 19

Source: Oxford Economics

Key forecasts

Table 3: Global emerging markets forecast

	REAL GDP (% Y/Y)			INFLATION (% Y/Y)		
	2025	2026	2027	2025	2026	2027
Emerging Markets	4.5	3.7	4.4	4.3	5.2	4.2
Asia Pacific	4.4	4.1	3.9	1.3	3.1	2.7
China	5.0	4.8	4.6	0.0	1.6	1.5
India	7.5	6.5	6.7	1.3	7.2	3.9
Indonesia	5.1	5.0	5.0	2.9	3.5	2.9
Malaysia	5.2	4.4	4.4	1.6	2.9	1.4
South Korea	1.0	2.5	1.9	2.3	3.0	1.3
Thailand	2.4	1.8	1.7	-0.3	4.7	0.0
Latin America	2.9	2.0	2.5	13.9	11.0	8.2
Argentina	4.4	2.5	2.8	31.4	35.1	19.7
Brazil	2.6	1.6	1.7	4.3	4.9	3.6
Chile	2.6	0.9	3.0	3.4	4.1	2.6
Colombia	2.6	2.9	2.6	5.1	7.2	4.7
Mexico	0.7	0.9	2.0	3.7	4.1	3.5
CEEMEA	3.1	2.4	3.0	19.9	17.9	12.4
Hungary	0.4	1.8	2.1	3.3	3.9	3.5
Poland	3.6	3.5	2.9	2.4	3.9	2.1
Russia	1.0	0.4	1.2	5.6	5.3	4.7
South Africa	1.1	1.1	1.4	3.6	4.9	3.4
Turkey	3.6	2.3	3.4	30.9	29.4	19.1

Sources: Haver Analytics, Oxford Economics. Forecasts: Oxford Economics. Note: Latin America aggregate figures exclude Mexico and Venezuela; CEEMEA aggregate figures exclude South Africa.

Table 4: Inflation targeting in emerging markets

	INFLATION (%Y/Y, EOP)				POLICY RATE (% EOP)			
	CURRENT	2026F	2027F	TARGET	CURRENT	2026F	2027F	NEXT POLICY RATE MOVE
Asia Pacific								
China	1.2	1.9	1.5	2.0% ceiling	1.40	1.40	1.40	On hold through 2027
India	3.5	7.2	3.9	4.0% (+/- 2.0%)	5.25	5.75	5.75	25bps hike in Q3 2026
Indonesia	3.1	3.5	2.9	2.5% (+/- 1.0%)	5.50	6.00	4.50	25bps hike in Q2 2026
Malaysia	1.9	2.9	1.4	na	2.75	2.75	2.75	On hold through 2027
South Korea	3.1	3.0	1.3	2.0%	2.50	3.00	2.75	25bps hike in Q3 2026
Thailand	2.8	4.7	0.0	2.0% (+/- 1.0%)	1.00	1.00	1.00	On hold through 2027
Latin America								
Brazil	4.4	4.9	3.6	3.0% (+/- 1.5%)	14.50	13.00	10.50	25bps cut in Q2 2026
Chile	3.9	4.1	2.6	3.0% (+/- 1.0%)	4.50	4.50	4.00	25bps cut in Q1 2027
Colombia	5.8	7.2	4.7	3.0% (+/- 1.0%)	11.25	11.25	9.50	25bps cut in Q1 2027
Mexico	3.9	4.1	3.5	3.0% (+/- 1.0%)	6.50	6.25	6.25	25bps cut in Q4 2026
CEEMEA								
Hungary	1.8	3.9	3.5	3.0% (+/- 1%)	6.25	5.50	4.75	25 bps cut in Q2 2026
Poland	3.1	3.9	2.1	2.5% (+/- 1%)	3.75	3.75	3.50	25 bps cut in Q1 2027
Russia	5.3	5.3	4.7	4.0%	14.50	11.50	8.00	100 bps cut in Q2 2026
South Africa	3.8	4.9	3.4	3.0% - 6.0%	7.00	7.25	6.25	25bps hike in Q3 2026
Turkey	32.6	29.4	19.1	5.0% (+/- 2.0%)	37.00	35.50	24.00	100bps cut in Q4 2026

Sources: Haver Analytics, Oxford Economics. Forecast: Oxford Economics.

Note: The policy rate for China here is the seven-day reverse repo rate as it has increasingly been used as a short-term policy signal. The one-year medium-term lending facility remains the rate linked to central bank policy, RCB, in Oxford Economics' Global Economic Model (GEM). The seven-day reverse repo rate is currently available in GEM as RRP7D, and we're in the process of introducing it for broader use.

Table 5: Global emerging markets currency forecast

(PER US DOLLAR, EOP)	LATEST	Q2 2026	Q3 2026	Q4 2026
Asia Pacific				
China	6.77	6.75	6.75	6.74
India	95.7	95.9	96.0	96.0
Indonesia	17981	18100	18000	17800
Malaysia	4.06	4.00	3.95	3.85
Philippines	61.5	61.4	60.9	60.4
South Korea	1527	1510	1490	1479
Thailand	32.9	32.6	32.4	32.4
Latin America				
Brazil	5.15	5.00	5.07	5.12
Chile	909.0	902.4	904.0	904.0
Colombia	3514	3500	3600	3650
Mexico	17.4	17.7	17.8	18.1
Peru	3.41	3.43	3.46	3.48
CEEMEA				
Czech Republic	21.0	21.0	21.0	21.0
Hungary	308	310	311	311
Poland	3.69	3.68	3.66	3.65
South Africa	16.3	16.5	16.5	16.7
Turkey	46.1	46.7	48.7	50.7

Sources: Haver Analytics, Oxford Economics. Forecast: Oxford Economics. Note: Latest as of June 11.